

star in basketball games with a five-pound weight strapped to his waist. Big funds have the same built-in handicaps as big anythings—the bigger it is, the more energy it takes to move it.

Yet even at \$9 billion, Fidelity Magellan has continued to compete successfully. Every year some new soothsayer says it can't go on like this, and every year so far it has. Since June, 1985, when Magellan became the country's largest fund, it has outperformed 98 percent of general equity mutual funds.

For this, I have to thank Seven Oaks, Chrysler, Taco Bell, Pep Boys, and all the other fast growers, turnaround opportunities, and out-of-favor enterprises I've found. The stocks I try to buy are the very stocks that traditional fund managers try to overlook. *In other words, I continue to think like an amateur as frequently as possible.*

GOING IT ALONE

You don't have to invest like an institution. If you invest like an institution, you're doomed to perform like one, which in many cases isn't very well. Nor do you have to force yourself to think like an amateur if you already are one. If you're a surfer, a trucker, a high school dropout, or an eccentric retiree, then you've got an edge already. That's where the tenbaggers come from, beyond the boundaries of accepted Wall Street cogitation.

When you invest, there's no Flint around to criticize your quarterly results or your semiannual results, or to grill you as to why you bought Agency Rent-A-Car instead of IBM. Well, maybe there's a spouse and perhaps a stockbroker with whom you are forced to converse, but a stockbroker will be quite sympathetic to your odd choices and certainly isn't going to fire you for picking Seven Oaks—as long as you're paying the commissions. And hasn't the spouse (the Person Who Doesn't Understand the Serious Business of Money) already proven a faith in your investment schemes by allowing you to continue to make mistakes?

(In the unlikely event that your mate is dismayed at your stock selections, you could always hide the monthly statements that arrive in the mail. I'm not endorsing this practice, only pointing out that it's one more option available to the small investor that's out of the question for the manager of an equity fund.)

You don't have to spend a quarter of your waking hours explaining to a colleague why you are buying what you are buying. There's no rule prohibiting you from buying a stock that begins with *r*, a stock that costs less than \$6, or a stock in a company that's connected to the Teamsters. There's nobody to gripe, "I never heard of Wal-Mart" or "Dunkin' Donuts sounds silly—John D. Rockefeller wouldn't have invested in donuts." There's nobody to chide you for